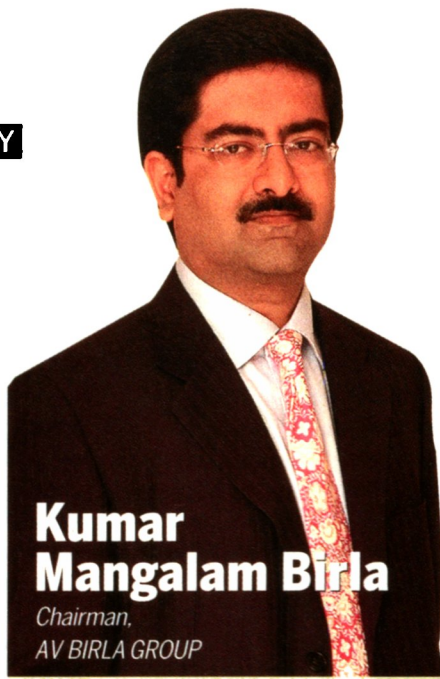




Kumar Mangalam Birla

Chairman,
AV BIRLA GROUP



Pawan Munjal

Managing Director & CEO,
HERO HONDA MOTORS

Is the rise in markets and faint glimmer of feelgood factor for real or an illusion?

Stock markets have already expressed Euphoria about the election results. In a sense there may be a correction in the earlier over-pessimism. I think market sentiment reflects the confidence of investors in policy makers to guide India back towards high growth.

Can we say the worst is over for India?

Definitely. Things appear to be bottoming out for cyclically driven industries like automobiles. Export-driven sectors may need more time to get out of the woods.

Can the revival of growth in India be decoupled from global horror stories?

India's growth is mainly driven by domestic consumption coupled with structural factors like demography and productivity improvement, so it is not as pained as other economies.

When do you expect the Indian economy to turn around?

My sense is that this will happen in another two to three quarters.

Are there any signs you would watch out for to signal the return of growth?

The key signal to watch is a shift in confidence levels, not only among investors but also among consumers and businesses. The "purchasing managers' index" reveals that things are moving in the right direction.

Perceptions about India's near-term future have changed recently with the coming of a stable Government. This has led to the recent rally. Quick positive policy measures will add to market optimism. Fundamentals, however, are likely to improve at a much slower pace.

Since we now have a stable government at the Centre, I think it would be safe to say that the worst is over, even though a few sectors may still see some more pain.

Complete decoupling is not possible. Some isolation can be achieved if policy brings India's aspirational millions to the mainstream; this will make growth durable and insulate India.

There may be some early signs of recovery around October-November but I don't expect a genuine turnaround to take shape before the beginning of the next financial year.

If the IIP starts stabilising at 5 per cent and moves up it would be a growth signal. If interest rates come down by 150-200 bps that would be another. I would also look at the performance of services and agriculture sectors.

3 STEPS THE GOVERNMENT MUST TAKE

- Rev up spending on infrastructure—it creates public goods, jobs and provides a handsome return on fiscal spending.
- Focus on education, go beyond NREGA to teach people sustainable livelihood.
- Push reforms and disinvestment.

- Undertake divestment of PSUs to raise resources quickly.
- Secure early passage of key legislation relating to the financial sector.
- Give stimulus to export-oriented sectors to reinstate jobs and boost consumption.